

Palantir Technologies Inc.

PLTR NYSE

Hold	\$173.96 ▼ 0.70%	12M Price Target \$185.00	52-Week Range \$106.37 – \$207.52	Market Cap \$418.04B
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PLTR: Cluster Insider Selling Meets Rich AI Valuation

WHAT HAPPENED

- Stock is basically flat at \$173.96 after a monster 33%+ run over the past month — the market is digesting gains, not selling off. That sideways action tells me buyers and sellers are in a standoff at these levels, waiting for the next catalyst.
- Director Alexander Moore dumped ~\$2.8M in shares last week across four transactions — that's cluster insider selling (multiple sells in a short window), which historically is a yellow flag. Not a "sell everything" signal, but insiders know things you don't, and they're taking chips off the table near highs.

WHY IT MATTERS

Here's what I think is really going on: PLTR has become the poster child for the Trump administration's "AI-first government" push, and the stock is pricing in a LOT of that already. The 33% rally in a month means expectations are sky-high — any hiccup in federal contract wins, and this thing gives back 20% fast. The options flow is technically bullish (put/call at 0.95, calls being scooped up), but that \$200 strike put buying tells me some smart money is hedging against a pullback from these nosebleed levels. Bottom line: the story is still intact, but you're paying tomorrow's price today, and insiders are quietly heading for the exits.

POLICY & POLITICAL WATCH

The big tailwind: the FY2026 defense authorization and the administration's continued push on federal AI adoption — Palantir is the primary beneficiary of the Pentagon's Maven-style AI programs and has been embedded in Army, ICE, and HHS workflows. Watch the ongoing budget reconciliation debates in Congress — if defense discretionary spending gets protected (likely under this administration), PLTR's government book keeps compounding. The wildcard risk: any bipartisan pushback on government surveillance AI or civil liberties legislation could create headline risk, though the current political configuration makes major restrictions unlikely in the next 12 months.

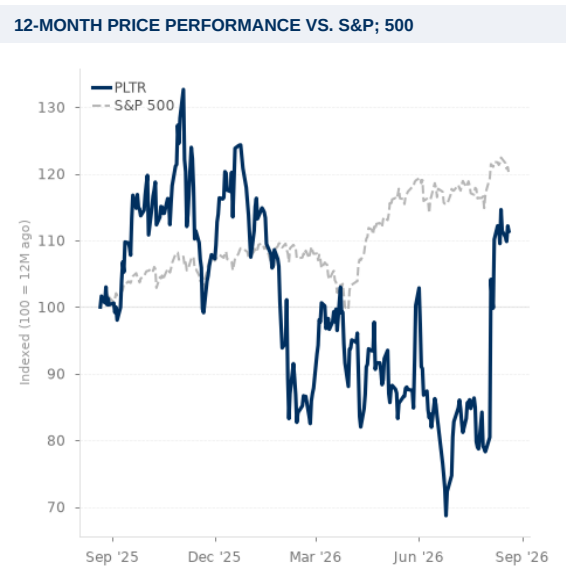
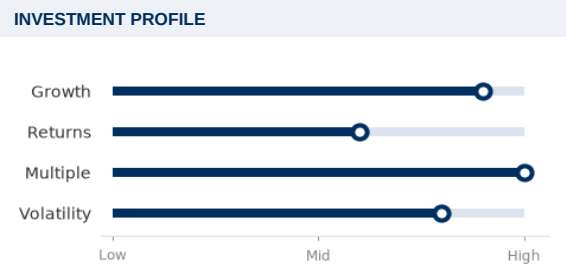
IS IT EXPENSIVE?

This is where it gets uncomfortable — PLTR trades at roughly 100x forward sales, meaning investors are paying \$100 for every \$1 of revenue the company will generate next year. For context, most software peers trade at \$10-15 per \$1 of revenue. The bull case is that PLTR grows into it via government AI dominance, but that valuation only makes sense if revenue growth stays above 30% for years — any deceleration and the multiple compresses hard.

WHAT COULD GO WRONG

- Insider cluster selling near all-time highs — when directors sell \$2.8M in four days, it's rarely a coincidence with the top being in

Key Data	
Price (USD)	\$173.96
12M Price Target	\$185.00
Upside / (Downside)	+6.3%
Market Cap	\$418.04B
FY2026E Revenue	\$4,200M
FY2027E Revenue	\$5,600M
FY2026E EPS	\$0.62
FY2027E EPS	\$0.85
Fwd P/E	280.5x



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$195.00	\$175.00	\$155.00
6 Months	\$220.00	\$185.00	\$140.00
1 Year	\$250.00	\$195.00	\$125.00
2 Years	\$320.00	\$220.00	\$110.00
5 Years	\$500.00	\$300.00	\$90.00
10 Years	\$800.00	\$400.00	\$75.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+4.4% this week) — likely reflecting geopolitical tension and continued fossil-fuel-friendly policy from Washington. Defense-adjacent AI still has structural tailwinds from federal spending priorities.

COOLING OFF: Technology (-4% over 5 days) and Communication Services (-1.7%) — the mega-cap tech trade is taking a breather, which is why PLTR being flat is actually relative outperformance.

ROTATION WATCH: Money is quietly rotating out of high-multiple tech into energy and real assets — that's a warning sign for names like PLTR that live on multiple expansion.

RELATED PLAY: If you like the government AI theme but want less valuation risk, look at defense primes with AI exposure — LMT, RTX, or infrastructure players like data center REITs (DLR, EQIX) that benefit regardless of which AI winner emerges.

WHO'S WINNING IN THIS SPACE?

- SNOW (Snowflake): The "other" agentic AI backbone getting comparison coverage — riding the same enterprise AI adoption wave but at a more digestible valuation
- Defense primes broadly (LMT, GD): Benefiting from the same federal spending tailwind as PLTR but trade at 15-20x earnings vs PLTR's stratospheric multiple

PLTR CONTEXT: PLTR is LEADING its peer group hard — up 33% in a month while tech sector is down 4% over 5 days. That kind of divergence usually mean-reverts. Either peers catch up, or PLTR gives some back. History says the latter is more common.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — I love the business and the policy tailwinds, but I hate the entry price here. Great company, wrong moment to chase.

POSITION SIZE: 2-3% of portfolio — this is a volatile name where you want exposure but not a position that keeps you up at night. If you already own it and are up big, consider trimming 20-30% to lock in gains.

ENTRY POINTS: I'd wait for a pullback to \$150-160 range — that's where the stock previously consolidated before this last leg up. Buying at \$174 with insiders selling feels like chasing.

TIME HORIZON: 12-24 months — the catalyst I'm watching is Q3/Q4 earnings and any major DoD contract announcements. Also watching FY2027 budget proposals early next year.

WHEN TO BAIL: Revenue growth drops below 25% YoY, they lose a major government contract, or the stock breaks below its 200-day moving average with volume — that would signal the momentum trade is over.

HEDGING: Simplest hedge — buy some downside protection (put options ~10% below current price) if you're holding a full position, or just trim into strength. Don't try to short this outright; momentum names can stay irrational longer than you can stay solvent.